Date 05/03/26	Classification Public	Committee Budget Council
Wards affected: All		
From Executive Director of Resources		**Title of Report** Revenue and Capital Budget and Council Tax 2026/27 and MTFS 2026/27 – 2030/31

1. Executive Summary

1.1 This report seeks Council approval of the Revenue and Capital Budget and Council Tax for 2026/27. It also seeks approval of a capital programme for 2025/26 to 2030/31. It presents the refreshed Medium Term Financial Strategy 2026/27 – 2030/31 for approval and provides an update on the economic climate and funding position.

1.2 Cabinet considered the Budget report on 26 February 2026 and set out budget proposals and recommendations for Council to consider at this budget setting meeting. The Cabinet report is attached at **Appendix AA**. The report includes several appendices as summarised in Section 4 below. These provide detailed information that should be used to support Members in their decision making. Where updated information has been received since the Cabinet report was published, this report highlights where changes have been made.

2. Recommendations

It is recommended that:

2.1 With regards to the proposed Capital Budget, that Council: -

In respect of the Capital Investment Programme 2025/26 to 2030/31

2.1.1 Considers and approves the Capital Investment Strategy for 2026/27 to 2030/31 set out in Appendix B;

2.1.2 Approves the £55.818m total new capital spend proposals and £149.384m total new capital lease proposals for 2026/27 to 2030/31 (paragraph 9.5 of Appendix AA and Appendix C);

2.1.3 Approves the revised capital programme for 2025/26 to 2030/31 of £769.583m, as set out in Appendix AA paragraph 9.9 and Appendices D(i) and D(ii);

2.1.4 In addition to the recommendations of Cabinet, approves the addition of the late notified grant funded highways related schemes detailed in paragraph 5.2.2 to the capital programme;

2.1.5 Notes that where capital schemes have been flagged as Conditional in Appendix D(ii), a report is required to be produced detailing the specific use of the budget, and where appropriate a full business case, to be approved by the Deputy Leader and Cabinet Member for Finance in consultation with the Leader, Cabinet Member responsible for the Portfolio the scheme is within, Executive Director of Resources and the Executive Director responsible for the scheme.

In respect of the Treasury Management Strategy and Prudential Indicators 2026/27

2.1.6 Approves the Treasury Management Strategy 2026/27 as set out at Appendix F;

2.1.7 Approves the Treasury Management Policy Statement 2026/27 attached to Appendix F as Annex A;

2.1.8 Approves the Minimum Revenue Provision (MRP) policy 2026/27 attached to Appendix F as Annex B;

2.1.9 Approves the Prudential Indicators attached to Appendix F as Annex C;

2.1.10 Approves the Annual Investment Strategy 2026/27 attached to Appendix F as Annex D;

2.2 With regards to the proposed Revenue Budget, that Council: -

In respect of the Robustness of the Budget

2.2.1 Considers and acknowledges the advice of the Executive Director of Resources on the robustness of the proposed Budget and Medium Term Financial Strategy, the adequacy of the Council's Reserves and the Reserves Strategy, as required by Section 25 of the Local Government Act 2003;

In respect of Fees, Charges and Rents for 2026/27

2.2.2 Approve the changes to Fees and Charges which require Cabinet approval as set out in Appendix G;

2.2.3 Note the Parking Account set out in Appendix H;

2.2.4 Approves that rents for housing properties held within the General Fund and let on secure tenancies are increased by 4.8%, from 6 April 2026, as set out in Section 11 of Appendix AA;

2.2.5 Approves that rents for housing properties used by the Council for employee accommodation are increased by 4.8%, from 6 April 2026, as set out in Section 11 of Appendix AA;

2.2.6 Approves that tenant service charges for housing properties held within the General Fund are charged in line with the charges to HRA tenant service charges with effect from 6 April 2026, as set out in Section 11 of Appendix AA;

2.2.7 Approves that charges for pieces of land let under licence by the Housing Service are increased by 4.8%, from 1 April 2026, as set out in Section 11 of Appendix AA;

In respect of the General Fund Revenue Budget 2026/27

2.2.8 Notes that the Council has balanced its budget for 2026/27 as set out in Section 12 of Appendix AA and Appendix I;

2.2.9 Approves the 2026/27 Revenue Budget summarised in Appendix I including the proposed General Fund net budget requirement of £314.896m for 2026/27, and the commencement of any required consultation, statutory or otherwise;

2.2.10 Approves the Schools budget of £453.664m and its relevant distribution as recommended by the Schools Forum at its meetings dated 22 January 2026 and 2 February 2026 and agrees that any changes to the budget reasonably required as a result of changes to the 2026/27 DSG settlement are delegated for decision to the Executive Director of Children and Education following consultation with the Executive Director of Resources (Appendix J(i));

2.2.11 Approves the basis for distributing the funding to mainstream schools in line with the National Funding Formula, and proposed 2026/27 funding rates as recommended by Schools Forum, as set out in Appendix J(ii);

2.2.12 Notes the forecast collection fund surplus (Council share) of £1.632m to be recognised as part of the 2026/27 budget as set out in Table 24 of Appendix AA;

2.2.13 Approves the proposed savings of £0.122m (Appendix L(iii)), growth of £51.132m (Appendix M) and service inflation of £10.478m for 2026/27;

2.2.14 Approves the Flexible Capital Receipts Efficiency Strategy in Appendix E and paragraphs 12.46-12.52 of Appendix AA;

2.2.15 Subject to recommendation 2.2.13, notes the agreed ongoing budget savings of £9.667m in 2026/27 (Appendix N) and the budget growth of £61.610m in 2026/27 (Appendix M – growth and inflation), and the subsequent individual service cash limits for 2026/27, as contained in Appendix I and Section 12 of Appendix AA;

In respect of Council Tax and Business Rates for 2026/27

2.2.16 Note the Greater London Authority (GLA) Band D precept of £510.51 for 2026/27 (an increase of £20.13 or 4.1%) (paragraph 13.9 of Appendix AA);

2.2.17 Note that the Executive Director of Resources has calculated under delegated authority the amount of 94,149 as the Council Tax Base, (the number of properties in Bands A-H in the Borough, expressed as an equivalent number of Band D units for the year 2026/27) in accordance with Regulation 3 of the Local Authorities (Calculation of Council Tax Base) Regulations 1992 (as amended) made under Section 33(5) and 34(4) of the Local Government Finance Act 1992 (paragraph 12.43 of Appendix AA);

2.2.18 Note the Council's share of the business rates income forecast for 2026/27 at £26.227m agreed under delegated authority by the Executive Director of Resources as set out in paragraphs 12.41-12.45 of Appendix AA;

In respect of the Medium Term Financial Strategy 2026/27 to 2029/30

2.2.19 Considers and approves the refreshed Medium Term Financial Strategy (MTFS) for 2026/27 and notes the Medium Term Financial Strategy (MTFS) 2026/27 – 2030/31 (Section 14 of Appendix AA and Appendices S and T);

2.2.20 Notes the significant budget pressures and risks and uncertainties set out in paragraph 14.5 onwards of Appendix AA;

2.2.21 the total net savings proposals of £51.251m, including £9.667m in 2026/27 and the proposed growth (Sections 12 and 14 of Appendix AA and Appendices L and M) incorporated in the Medium Term Financial Strategy;

2.2.22 Note that forecast savings and additional income of £132.811m for the five year period 2026/27 to 2030/31 are required to balance the Medium Term Financial Strategy, dependent on Central Government funding and future Council Tax decisions, as set out in paragraphs 14.42-14.43 of Appendix AA; and

2.2.23 Notes the annual review of reserves including the forecast General Fund balance of £3.450m as at 31 March 2026 and notes the forecast levels of earmarked reserves (Appendix U).

2.3 With regards to Council Tax for 2026/27, that Council: -

In respect of Council Tax levels for 2026/27

2.3.1 Approves a 2.00% increase in the Adult Social Care Precept;

2.3.2 Approves a 2.99% increase in general Council Tax;

In respect of the Council Tax Resolution

2.3.3 Agrees the calculations as set out below for 2026/27 that have been prepared in accordance with Sections 31A and 31B of the amended Local Government Finance Act (LGFA) 1992:

Table 1: Section 31A (LGFA 1992 - amended) Calculation [1]

(A)	Aggregate of the amounts which the Council estimates for the items set out in Section 31A (2) (a) to (f) of the LGFA 1992 (Gross expenditure)	£1,094,962,062
(B)	Aggregate of the amounts which the Council estimates for the items set out in Section 31A (3) (a) to (d) of the LGFA 1992 (Gross income)	£926,993,656
(C)	Calculation of the Council Tax requirement under section 31A (4), being the amount by which the sum aggregated at (A) above exceeds the aggregate of (B) above.	£167,968,406

2.3.4 Agrees the calculation of the basic amount of council tax required is as follows, calculated by dividing the council tax requirement by the council tax base for

[1] Figures in Table 1, (A) and (B) includes HRA

2026/27 (referred to as Items R and T respectively, in Section 31B of the LGFA 1992 (amended)):

Table 2: Section 31B (LGFA 1992 - amended) Calculation

(C)	LB Redbridge's council tax requirement – 2026/27 (calculation shown in table 1)	£167,968,406
(D)	Council tax base for 2026/27	94,149
(E)	Council tax per Band D Property 2026/27	£1,784.07

2.3.5 Agree the calculation made in accordance with Section 36 of the Local Government Finance Act 1992, the following amounts for Redbridge's services in 2026/27 (see Table 3). These being the amounts given by multiplying the amount shown as 'Tax per Band D Property' (Table 2 above) by the number which, in the proportion set out in Section 5(1) of the Act, is applicable to dwellings listed in a particular valuation band divided by the number which in that proportion is applicable to dwellings listed in valuation band D, as the amounts to be taken into account for the year in respect of categories of dwellings listed in different valuation bands;

Table 3: Redbridge Council Tax 2026/27 by band of property

A	B	C	D	E	F	G	H
£1,189.38	£1,387.61	£1,585.84	**£1,784.07**	£2,180.53	£2,576.99	£2,973.45	£3,568.14

2.3.6 Notes that for 2026/27 the Greater London Authority (GLA), the Major Precepting Authority, has stated the following amounts of precepts issued to the Council, in accordance with Section 40 of the Local Government Finance Act 1992, for each of the categories of dwellings shown below:

Table 4: GLA precept 2026/27 by band of property

A £	B £	C £	D £	E £	F £	G £	H £
£340.34	£397.06	£453.79	**£510.51**	£623.96	£737.40	£850.85	£1,021.02

2.3.7 Having calculated the aggregate in each case of the amounts in recommendations 2.3.5 and 2.3.6 above, in accordance with Section 30(2) of the Local Government Finance Act 1992, approve the following amounts to be set as the amounts of Council Tax for 2026/27 for each of the categories of dwellings shown below;

Table 5: Total council tax 2026/27 by band of property (Redbridge and GLA)

A £	B £	C £	D £	E £	F £	G £	H £
£1,529.72	£1,784.67	£2,039.63	**£2,294.58**	£2,804.49	£3,314.39	£3,824.30	£4,589.16

2.3.8 To determine that the level of basic amount of council tax for Redbridge is **not excessive**, in accordance with the principles approved by the Secretary of State under Section 52ZB Local Government Finance Act 1992, and as shown in the calculation below;

(a) percentage increase defined by the Secretary of State as constituting an excessive increase for 2026/27: 5%

(b) percentage increase in the Council's basic amount of council tax:

2025/26 amount	£1,699.29
2026/27 amount	£1,784.07
Percentage increase	4.99%

The figure at 2.3.8 (b) is less than the figure at 2.3.8 (a) above and therefore the Council's basic amount of council tax for 2026/27 is not excessive and no referendum is required; and

2.3.9 To determine that, as the billing authority, the Council has not been notified by the GLA that its relevant basic amount of council tax for 2026/27 is excessive and therefore the Council is not required to hold a referendum in accordance with Section 52ZK of the Local Government Finance Act 1992.

3. Reasons for Recommendations

3.1 The Council must set its revenue budget and Council Tax by 11 March of the preceding financial year. If, for whatever reason, the Council cannot agree a budget and Council Tax at Council on 5 march, Members should be aware that it is unlikely that the Council Tax bills could be sent out on time for the 1 April instalment (taking into account the necessary notice period and the time required to print the bills and accompanying leaflet).

3.2 It is also good practice to approve the capital investment programme, treasury management strategy and fees & charges at the same time as the revenue budget. These are included within this report, together with their implications for the 2026/27 revenue budget and the Medium Term Financial Strategy (MTFS).

3.3 The Housing Revenue Account (HRA) budget also needs to be agreed in a timely manner to ensure rent levels can be reflected from 1 April of each year. A separate report elsewhere on this agenda deals with Housing Rents, Charges and the HRA budget for 2026/27.

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4. Background

4.1 The Executive Director of Resources, as the statutory Chief Finance Officer, is required by statute to advise Members on the level of reserves and robustness of estimates as part of the annual budget-setting report. This assessment is summarised in paragraph 13.3 of this report and set out in detail in the Cabinet report of 26 February 2026 in Appendix A. The Budget report also includes the required recommendations on prudential indicators for the Council to approve. The significant budget risks facing the Council are set out in Appendix A Section 9.

4.2 The significant risks identified include:

- Delivery of the transformational change required to deliver a Recovery Plan to allow the authority to not rely on EFS beyond 2028/29
- Capacity and ability to deliver savings to value and profile
- Funding volatility: Although provisional settlement figures are positive, only 2026/27 funding is confirmed; the figure for 2027/28 and 2028/29 remain indicative and may be subject to change following future fiscal events, distribution reviews or economic adjustments.
- 2029/30 remains a cliff edge for most local authorities and there is no visibility of funding plans beyond the current three year settlement period
- Increasing costs due to inflation and demographic pressures resulting in significant savings requirements in future years
- Adult Social Care, Childrens Social Care and Homelessness which potentially continue to cause pressures on the Council's revenue budget
- The expectation that the mitigation and cost reduction plans implicit in decisions taken about the amount of pressures rolling forward from 2025/26 reflected in service budget growth are successful. This particularly relates to homelessness and adult social care.
- Inherited liabilities for now aging infrastructure for which the council is inadequately resourced
- The increased reliance on parking and highway contravention income to contribute to the costs of transportation services
- The cumulative impact of savings plans and the increasing challenges of achieving the on-going significant budget reductions of organisational transformation to maintain service provision

4.3 The General Fund Balance is forecast to stand at £3.450m as at 31 March 2026 reflecting the need to fund the forecast overspend in 2025/26, after release of available earmarked reserves. This forecast balance is significantly below the level normally considered for an authority of Redbridge's size and risk profile and is before applying resources from the EFS funding that the authority has requested, which includes £20m to rebuild resilience via the General Fund Balance.

4.4 The proposed budget includes a Risk and Contingency Provision of £7.000m which offers an additional protection against unexpected events, and which would be utilised before balances and reserves. Ideally the provision will not be used in year, preserving the Councils first line of defence. Any amount of the Risk Provision that remains unspent by 31 March 2027, together with any other underspend should be transferred to the General Fund Balance in the first instance, and then to the Business Risk Reserve.

4.5 The Council holds a variety of earmarked reserves that have been set aside to meet specific liabilities or planned one-off expenditure arising in future years. These are

forecast to stand at £27.136m at 31 March 2026. All reserves that have been set aside are regularly reviewed as part of both the budget setting process and closure of accounts process in order to ensure that they are set at the appropriate level and are neither insufficient nor overstated.

4.6 It is imperative that services strive to keep within their approved cash limits to ensure that no additional draw on reserves occurs in 2026/27, and with no significant calls on the budgeted contingency and risk provision. Significant growth, for both demand and inflationary pressures, has been allocated to services to enable this, however as noted elsewhere there remains a significant saving requirement within services which need to be delivered, along with actions to prevent the reoccurrence of the overspends which have been forecast in 2025/26, to achieve a balanced outturn position.

4.7 Some of the growth included in Appendix M is listed as corporately held. This will not be available for services to spend until evidence of the need for growth and/or specific delivery plans, models or strategies have been approved by the Leader and Deputy Leader/Cabinet Member for Finance in consultation with the Executive Director of Resources.

4.8 The Capital programme detailed in Appendix D(ii) includes an unfunded scheme of £50m for Broadmead Bridge, recognising that this is an important asset to the borough. The Council is not resourced to fund this level of capital expenditure through borrowing that has no income return, as this would necessitate taking funding from services for the next 50 years. The Council is submitting a funding bid against the Department for Transport's Structures Fund, and meanwhile continues to work with political partners to lobby government to provide the infrastructure funding Redbridge deserves. It remains a clear priority for the Council to secure government funding to enable the reopening of the bridge. In addition, the Council will be looking to access funding through the government's new 10-year £39 billion Social and Affordable Homes Programme (SAHP), with a view to bring more socially affordable housing spread evenly across the borough. These schemes will be fully added to the programme once funding is secured.

4.9 The overall net General Fund budget proposed for 2026/27 is £314.896m (£242.940m in 2025/26). This takes into account the figures in the final Local Government Finance Settlement for 2026/27.

4.10 The 2026/27 budget, although considered robust and achievable, is not without risk, as detailed in Section 7 of this report and Section 14 of Appendix AA.

4.11 Each 1.00% on council tax yields £1.600m and a council tax referendum limit of 5.00% applies to Redbridge. The budget for 2026/27 will not trigger the need for a referendum as it is based on an increase of 2.99% (£50.80 at Band D) in the general council tax and also uses the flexibility allowed to apply a 2% precept (£33.98 at Band D) to fund Adult Social Care (ASC), giving a total local council tax at Band D (excluding GLA) of £1,784.07 (a 4.99% increase on the 2025/26 band D council tax of £1,699.29).

Table 6 - Redbridge council tax bands 2026/27 inclusive of ASC precept

	A	B	C	D	E	F	G	H
LBR	£989.23	£1,154.11	£1,318.98	**£1,483.85**	£1,813.59	£2,143.34	£2,473.08	£2,967.70
ASC	£200.15	£233.50	£266.86	**£300.22**	£366.94	£433.65	£500.37	£600.44
Total	**£1,189.38**	**£1,387.61**	**£1,585.84**	**£1,784.07**	**£2,180.53**	**£2,576.99**	**£2,973.45**	**£3,568.14**
GLA	£340.34	£397.06	£453.79	**£510.51**	£623.96	£737.40	£850.85	£1,021.02
Total	**£1,529.72**	**£1,784.67**	**£2,039.63**	**£2,294.58**	**£2,804.49**	**£3,314.39**	**£3,824.30**	**£4,589.16**

5. Updates since Cabinet Publication

Exceptional Financial Support

5.1. The Secretary of State has acknowledged the Council's request for £70m of Exceptional Financial Support for 2026/27 and has indicated they are minded to approve the requested capitalisation direction. This will be after they are satisfied by an external assurance review of the Council's financial position and governance arrangements.

Other changes

5.2. Appendix D(iii) has been added to provide additional detail around the Highways element of the Capital Programme it includes:

5.2.1 More detail on schemes shown in the main capital programme included in appendices B, C, D(i) and D(ii)

5.2.2 The following additional schemes which subject to Council approval will be added to the capital programme, all funded by recently announced grant funding:

- £1.083m Safer Corridors & Neighbourhoods
- £0.266m Cycleway Network Development
- £0.033m Bus Priority
- £0.350m Safer Streets
- £0.060m Cycle Parking
- £1.811m Highway Maintenance Funding

5.2.3 The remaining amounts shown in Appendix D(iii) are anticipated schemes subject to future approval. They are based on as yet unconfirmed grant funding, once grant funding has been confirmed they will be added to the Capital Programme in the normal way as part of Budget Monitoring reports to Cabinet.

5.3. A minor wording change to Appendix D(ii) to clarify that the Climbing Wall project may be at a location other than a Depot.

5.4. Appendix AA has been updated to correct rounding errors on the presentation of Council Tax Bands A-C and E-H. This has no impact on the percentage increase, Band D Council Tax value or overall Council Tax income.

5.5. The Parking Account in Appendix H has been updated to reflect the expected cost of concessionary fares in 2026/27.

5.6. The full fees and charges schedule for 2026/27 has also been published on the Council's website Fees & Charges 2026/27.

6. Risk

6.1 Under Section 25 of the Local Government Act 2003, the Executive Director of Resources is required to include in the budget report views on the adequacy of the balances and reserves in light of the medium term risks facing the Council.

6.2 The key risks that face the Council have been identified throughout Appendix AA and in particular in paragraphs 14.20 to 14.41 of that Appendix, these are also summarised in paragraph 4.2 of this report.

7. Fairness Implications, including Equality and Diversity

General

7.1 In summary, section 149 of the 2010 Act requires the Council, when exercising its functions, to have 'due regard' to the need to:

a) Eliminate discrimination, harassment and victimisation and any other conduct that is prohibited by or under the Act (which includes conduct prohibited under section 29);

b) Advance equality of opportunity between people who share a relevant protected characteristic and those who don't share it;

c) Foster good relations between people who share a relevant protected characteristic and those who do not (which involves having due regard, in particular, to the need to tackle prejudice and promote understanding).

7.2 Under the PSED the relevant protected characteristics are:

- Age
- Disability
- Gender Reassignment
- Pregnancy & Maternity
- Race
- Religion
- Sex
- Sexual Orientation

7.3 In respect of the first aim only i.e. reducing discrimination, the protected characteristic of marriage and civil partnership is also relevant.

7.4 Having due regard to the need to 'advance equality of opportunity' between those who share a protected characteristic and those who do not includes having due regard, in particular, to the needs to:

- Remove or minimise disadvantages suffered by persons who share a relevant protected characteristic that are connected to that characteristic;
- Take steps to meet the needs of persons who share a protected characteristic where those needs are different from the needs of persons who do not share that characteristic;
- Encourage those who share a relevant protected characteristic to participate in public life or in any other activity in which participation by such persons is disproportionately low.

7.5 Further, section 149 provides that the steps involved in meeting the needs of disabled persons that are different from the needs of persons who are not disabled include, in particular, steps to take account of disabled persons' disabilities.

7.6 Compliance with the duties in section 149 may involve treating some persons more favourably than others, but that is not to be taken as permitting conduct that would otherwise be prohibited under the Act (which includes breach of an equality clause or rule, or of a non-discrimination rule).

Specific

7.7 All savings proposals contained in this report have been subject to an initial screening exercise to identify the potential impacts of the proposals on protected groups.

7.8 The Council wants to understand the combined impact of the budget proposals on groups of protected characteristics within the context of the wider social, health, community, economic and environmental impacts of austerity measures on Redbridge. Accordingly, a cumulative impact analysis is provided to members with the final budget proposals in Appendix O. This includes the Equalities Impact Assessment process.

7.9 As far as possible, budget savings have optimised efficiencies in service delivery and aim to ensure that resources are targeted where they are most needed. By maximising savings through efficiencies, the Council seeks to limit the potential impact on those within protected characteristic groups.

7.10 With this approach there was low adverse potential impact of two proposals on groups with protected characteristics that were identified from this year's budget proposals. One proposal is assessed as have a low risk of potential adverse impact on people with disability, whilst another has a low risk of potential adverse impact across all protected characteristics.

7.11 There are also several areas of positive impact across the proposals as our services move towards delivery that is less generic and based more specifically on careful assessment of the individual's situation and needs.

8. Staffing Implications

8.1 The delivery of budget savings needed to manage the significant impact of reducing resources inevitably requires the most efficient and productive use of the staff employed by the Council. Where they are necessary, compulsory staff redundancies will be minimised by prioritising the deletion of vacant posts and reducing the reliance on agency staff. Voluntary redundancies will also be considered. In all such cases the Council complies with relevant legislation, its own Human Resources policies and procedures and with the Constitution.

8.2 From the savings identified since February 2024 (Appendix L), there are no planned reductions in staffing.

9. Child Friendly Implications

9.1 The budget proposed includes funding for services for children in the borough, including the Children & Families and Education and Inclusion services as detailed in the report above.

10. Crime & Community Safety

10.1 The budget proposed includes funding for crime and community safety activities, these are delivered by a wide range of services across the Council.

11. Value for Money

11.1. This report addresses the Council's budget for the next year and Medium Term Financial Planning. As demonstrated elsewhere in this report, resources for the Council are limited and therefore it is essential that value for money is achieved across the budget. This is addressed in when reviewing individual budget proposals.

12. Financial Implications

12.1 The financial implications are set out throughout the Cabinet report at Appendix AA.

12.2 The statutory advice of the Executive Director of Resources, as statutory Chief Finance Officer, on the robustness of estimates and adequacy of reserves, that the Council must have regard to when setting the Budget and council tax, is detailed in Appendix A.

12.3 The advice of the Executive Director of Resources is that in this challenging period the projected level of balances is adequate, but due regard must be made to the caveats around the Council having an effective and deliverable Recovery Plan, and it is also critical that the measures set out in paragraph 3.3 of Appendix A are delivered. However, given the considerable utilisation of reserves forecast in 2025/26, there needs to be an understanding that more difficult decisions are likely to need to be made in the coming years to balance the annual out-turn of the General Fund without the use of reserves and to replace the reserves used this year and in previous years. It should be noted that neither the General Fund Balance nor the Business Risk Reserve is forecast to be at the target level for 2026/27 and will take a number of years to replenish based on the proposed MTFS, however this will need to be prioritised in order to deliver financial sustainability.

12.4 This resilience is necessarily a joint endeavour between Members and the Executive Leadership Team, and all must strive in the same direction to plan and deliver services within the budget envelope provided. Failure to do so will ultimately leave the S151 Officer no choice but to serve a Section 114 Notice, an outcome that will fail Redbridge residents.

13. Legal Implications

13.1 The Local Government Act 2000 requires full Council to approve the Council's budget and council tax demand. Management of budgets, the power to invest and ability to borrow are contained in the Local Government Act 2003.

13.2 Section 25 of the Local Government Act 2003 requires that when a local authority is agreeing its budget and precept, the Chief Finance Officer must report to it on the following matters: (a) the robustness of the estimates made for the purposes of the calculations, and (b) the adequacy of the proposed financial reserves. The authority must have due regard to the report when making decisions on the budget and precept.

13.3 Section 31 of the Local Government Finance Act 1992 imposes a statutory duty upon the authority to calculate its budget requirements for each financial year. There is a complex statutory framework which prescribes how the budget requirement must be calculated and this will be set out in more detail in the report to Budget Council in February when Members are asked to agree the budget and Council Tax.

13.4 A local authority is not permitted to allow its spending to exceed its available resources so that overall it would be in deficit (Sections 32 and 43 of the Local Government Finance Act 1992 require authorities to have regard to the level of reserves needed for meeting estimated future expenditure when calculating the budget requirement).

13.5 Under Section 31A of the Local Government Finance Act 1992, budget calculations have to be made before 11 March, but they are not invalid merely because they are made on or after 11 March. However, delay in setting the Council Tax will have very serious financial consequences. It will render the Council vulnerable to legal proceedings requiring it to set the tax. In any event, it is important that the tax is set well in advance of 1 April as no sum is payable for Council Tax until 14 days after the date of posting bills. Serious financial losses will accrue very soon from a late setting of Council Tax as income is delayed and interest is foregone. An important feature of Council Tax is that the statutory budget calculation must be followed exactly. If not the Council Tax resolution will be invalid and void.

13.6 Any proposals which have been considered as part of the budget making process and which, if implemented, would result in the significant change or reduction in services will be subject to appropriate consultation with service users and other stakeholders so that the full extent of the impact of such proposals can be assessed prior to making a final decision on whether to implement the proposal.

13.7 Certain proposals which may result in redundancies or changes to terms and conditions of staff may also be subject to statutory consultation under employment legislation. Decisions on changes to staffing structure or terms will be decided in accordance with the Constitution and delegated powers where applicable.

13.8 The public sector equality duty as referenced in the body of the report will also need to be considered at various stages throughout the budget setting process. This has been done by undertaking equality impact assessments at appropriate stages which identify for the decision maker any consequential adverse impacts on protected groups and should assist them in also developing appropriate mitigations where necessary.

13.9 The obligation to make a lawful budget each year is shared equally by each individual Member. In discharging that obligation, Members owe a fiduciary duty to the Council Taxpayer.

13.10 The budget must not include expenditure on items which would fall outside the Council's powers. Expenditure on lawful items must be prudent, and any forecasts or assumptions such as rates of interest or inflation must themselves be rational. Power to spend money must be exercised bona fide for the purpose for which they were conferred and any ulterior motives risk a finding of illegality. In determining the Council's overall budget requirement, Members are bound to have regard to the level of Council Tax necessary to sustain it. Essentially, the interests of the Council Taxpayer must be balanced against those of the various service recipients.

13.11 Within this overall framework, there is of course considerable scope for discretion within the 2026/27 financial year, especially on the part of the Cabinet. Setting a budget is not the same as deciding what expenditure will in fact be incurred. To budget for expenditure is to estimate likely expenditure and/or make financial provision for such expenditure. However, Members will bear in mind that in making

the budget, commitments are being entered which will have an impact on future years. Some such commitments are susceptible to change in future years, such as staff numbers which are capable of upward or downward adjustment at any time. Other commitments, however, impose upon the Council future obligations which are binding and cannot be adjusted, such as loan charges to pay for capital schemes. For some specific proposals within the overall Budgetary framework, Cabinet decisions have already been made. For some other proposals, subject to relevant consultation where necessary, decisions by the Cabinet will need to be made, especially where the making of such a decision would result, or would be likely to result, in the permanent closure of a facility used by the public or a permanent and significant reduction in the level of services or facilities provided to the public other than where such closure or reduction in service is considered necessary by the relevant Executive Director for reasons of health and safety.

13.12 In making those subsequent decisions the Cabinet will be required to consider all relevant matters, including the results of any consultation and the Council's equality duties. This will include that, should the Cabinet (or other decision maker) consider it appropriate, for example when being asked to make service changes to achieve a budget reduction and having taken into account all relevant facts (including but not limited to the results of any consultation and after due consideration of the Council's equalities duties) they have the option of not making the budget reductions detailed within the overall budget. They will still be required to balance the budget overall using the appropriate constitutional procedures, for example, finding the savings from elsewhere or using reserves and otherwise complying with the Council's rules on budget setting and management.

13.13 Only relevant and lawful factors may be taken into account and irrelevant factors must be ignored. A Member who votes in accordance with the decision of his or her political group, but who does so after taking into account the relevant factors and professional advice, will be acting within the law. Party loyalty and party policy are capable of being relevant considerations for the individual Member provided the member does not blindly toe the party line without considering the relevant factors and professional advice and without properly exercising any real discretion.

13.14 Members are required when reaching decisions to have regard to relevant advice from the s151 Officer, the Executive Director of Resources and the Monitoring Officer (the Operational Director of Assurance).

13.15 In accordance with section 106 of the Local Government Finance Act 1992 ("the 1992 Act"), where a payment of Council Tax that a Member is liable to make has been outstanding for two months or more at the time of a meeting, the Member must disclose the fact of their arrears (though they are not required to declare the amount) and cannot vote on any of the following matters if they are the subject of consideration at a meeting:

13.15.1 Any decision relating to the administration or enforcement of Council Tax.

13.15.2 Any budget calculation required by the Local Government Finance Act 1992 underlying the setting of the Council Tax.

13.15.3 Any recommendation, resolution or other decision which might affect the making of the Annual Budget calculation.

13.16 Members are reminded to consider whether they have a disclosable pecuniary interest or a personal interest in the setting of the council's budget. If a member has a relevant interest they must disclose the interest at the meeting, subject to the provisions in the Code in respect of sensitive interests. If the interest is:

13.16.1 a disclosable pecuniary interest; or

13.16.2 a personal interest which a member of the public knowing the facts would reasonably regard it as so significant that it is likely to prejudice their judgement of the public interest (and it affects their financial position or the financial position of a connected person (as defined in the Code) or relates to a regulatory matter affecting or likely to affect them or a connected person.

13.17 The member may not participate in the discussions or vote on the matter, although if the interest is prejudicial only, the member may remain for the purposes of making representations or asking questions.

13.18 Members should seek early advice to avoid any confusion on the night of the meeting if they consider they have a relevant interest.

13.19 The Council's Monitoring Officer may, on written request from a Member, grant a dispensation to relieve the applicant from the restrictions on participation and voting.

13.20 Sections 72 to 79 and Schedules 5 to 7 of the Localism Act 2011 amended the legislation regarding the calculation of council tax. Schedule 5 of the Localism Act provides for a council tax referendum to be held if an authority increases its relevant basic amount of council tax in excess of principles determined by the Secretary of State. Authorities will not be able to exceed the Secretary of State's principles without having held such a referendum. The 2024/25 council tax recommended to Council does not require a referendum to be held.

14. Appendices

Appendices:	
AA	Cabinet Report 26 February 2026 – Revenue and Capital Budget and Council Tax 2026/27 and MTFS 2026/27 – 2030/31 (updated)
A	Section 25 of the Local Government Act 2003 – Statement of Robustness
B	Capital Investment Strategy
C	New Capital Schemes
D	Capital Programme 2025/26-2030/31
E	Flexible Capital Receipts Efficiency Strategy
F	Treasury Management Strategy including Prudential Indicators
G	Fees and Charges for approval 2026/27
H	Parking Account 2026/27
I	Proposed Revenue Budget 2026/27
J	Summary DSG Settlement 2026/27
K	2026/27 Budget Consultation Feedback
L	Proposed New Savings
M	Growth
N	Full List of Savings 2026/27 Onwards
O	Cumulative Equalities Impact Assessment
P	Specific Revenue Grants Schedule 2026/27
Q	Calculation of Council Tax Requirement 2026/27
R	MTFS Movements since July 2025 Cabinet
S	MTFS Five Year Projections
T	Council Tax Scenarios
U	Earmarked Reserves Forecast

BACKGROUND PAPERS

Council Meeting	27 February 2025 – Revenue and Capital and Council Tax 2025/26 and MTFS 2025/26 to 2029/30
Cabinet Meeting	17 July 2025 - Medium Term Financial Strategy Update
Cabinet Meeting	13 November 2025 – Budget Strategy 2026/27
Cabinet Meeting	19 January 2026 – Budget Proposals 2026/27
Cabinet Meeting	26 February 2026 - Revenue and Capital and Council Tax 2026/27 and MTFS 2026/27 to 2030/31
Cabinet Meeting	26 February 2026 – Budgetary Control Report for Quarter 3 2025/26